the SEZs were essentially export-processing and assembly zones for low-end, labour-intensive manufactures such as garments, metals, plastic products and electronics. Even the machinery was brought in by the investor, so the return was a modest processing fee. On the basis of learnings from this pilot phase, China began to graduate to higher-value-added manufacture, now processing imported materials. This experience cleared the way for China's eventual integration into regional and global supply chains. This early phase of economic reforms and opening up was led by entrepreneurs from the Greater China area who either ran wholly owned subsidiaries or joint ventures with state-owned entities. Gradually, however, home-grown entrepreneurs entered the field, creating China's embryonic private sector. Investment from Western countries too flowed in, but it was a fraction of the investments from Greater China. Foreign investment came into the country, not to sell in the domestic market but to leverage its low-cost land and labour, as well as for the preferential benefits, to tap markets in the West and Japan. This is different from the Indian experience, where foreign investment has been mainly interested in selling to a large domestic market.

The success of the SEZ experiment was followed a decade later by much more ambitious market-oriented reforms in the already established industrial hub of Shanghai. An entirely new and modern city came up across the river in the Pudong New Area, transforming what were once paddy fields into a dense urban cluster, not unlike Shenzhen in Guangdong province. The Pudong New Area became a magnet for foreign capital and allowed finance companies, and later foreign banks, to open branches and conduct business. Bonded warehouses were set up to promote entrepot trade, and preferential tariffs on intermediate goods and components enabled higher-value-added manufacture for export. Shanghai and Pudong also introduced more liberal land use provisions, allowing lease of land for industries for up to seventy years. Leases could be transferred to new users, thus creating, in effect, a market for land services, if not landed property.

The proximity of Shanghai to the coastal provinces of Jiangsu and Zhejiang enabled the Yangzi river delta area to emerge as another growth